



Commission Primer

V1.2

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Commissions Overview

inPowerSuite provides support for single-level, uni-level, and multi-level commission plans including breakaways. The software readily manages enroller and sponsor hierarchies for companies having single or cross-country sponsorship requirements.

Many intrinsic qualifications and commission steps of a company's compensation plan are parameter-driven in the software, and can be adjusted at any time. Moreover, a company's proprietary business rules are maintained in custom program modules and are invoked during the appropriate phase of commission calculations.

inPowerSuite also provides many component modules for defining commission qualification and payout rules, and a well organized dashboard for the Commissions Manager to coordinate and process all facets of a commission cycle.

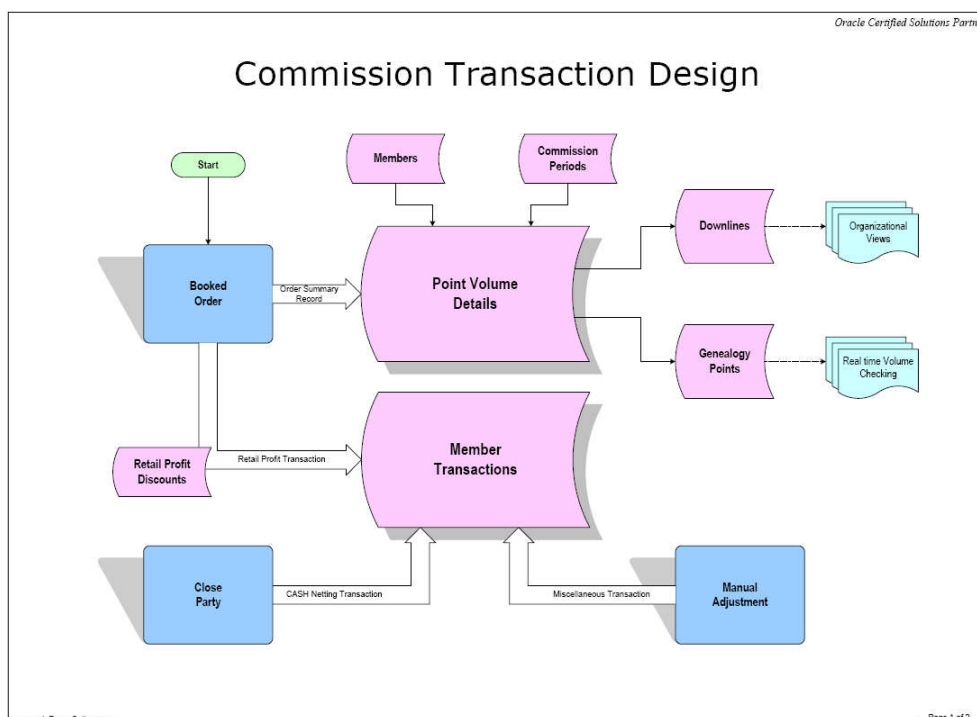
iPS Core Commission Design

inPowerSuite maintains commission points and commission volume at an item price level based on product classification. Additionally, an item may have several pricing options and related discounts where each selling arrangement maintains its own commission points and volume requirements.

After completing a sales order, iPS summarizes and assigns commission points and volume to a referring member, then the commission engine uses commission points as the basis to calculate ranks, and commission volume as the basis to calculate payouts. A company which has multi-country compensation plan will typically use commission points for global qualification requirements and commission volume for calculating payouts by country. Additionally, there are multiple parameters for controlling frequency-based payouts.

Commission Points and Volume

inPowerSuite's core order entry routines are designed to capture all data required to calculate commissions and store them at a sufficiently granular level for each order.

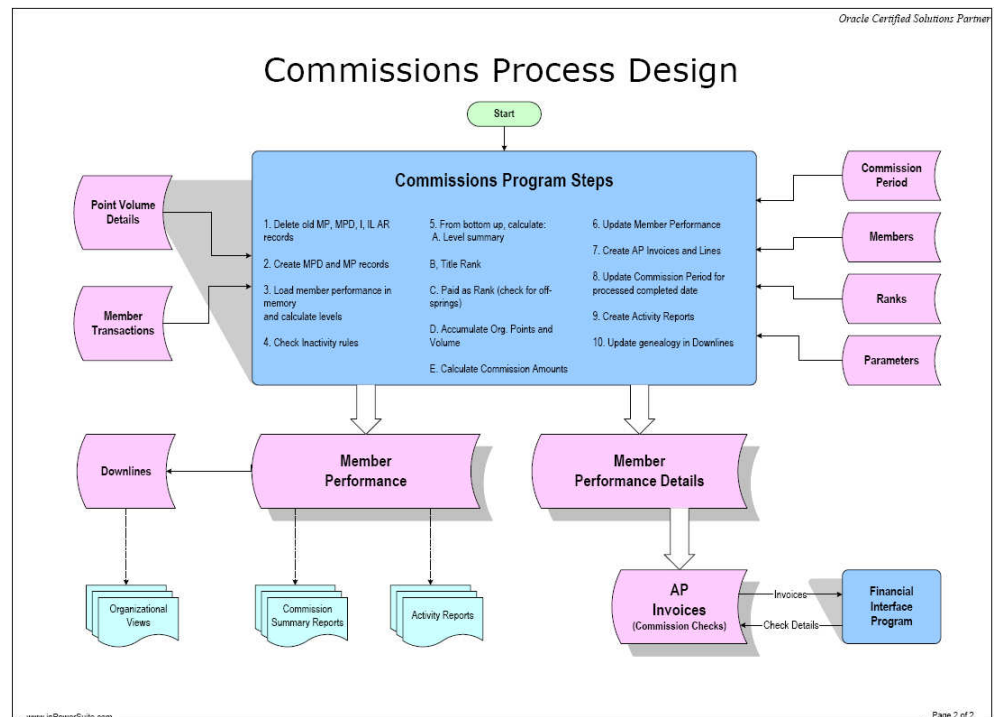


When a payment is captured for an order, a Point Volume Detail (PVD) and any applicable product rebates are recorded for the referring member and designated period.

This information is central to inPowerSuite's commission design and becomes the primary source for online volume checking, rank qualifications and payout calculations.

inPowerSuite leverages the point volume details, product rebates, and qualification rules for the active genealogy to determine rankings, advancements, and calculate payouts.

All commission results are recorded in performance summaries and payout details by member and period while maintaining historical views of the genealogy.



Ways of Qualify

inPowerSuite manages two distinct commission ranks for a member each period and provides a customizable set of qualification rules:

- | | |
|--------------|---|
| Title rank | High title rank (used for recognition purposes) is derived from sales activity over several periods in accordance with title maintenance requirements. |
| Paid as rank | <p>Derived from commissionable sales generated by a member and his/her organization's activity. Specifically,</p> <ul style="list-style-type: none"> a) Member must be deemed eligible for commissions b) Member meets personal qualification requirements for a specific rank c) Member has qualified legs (based on leg OR level qualifications AND breakaway rules) d) Finally, if favorable, override current month's paid as rank with last month's paid as rank when the latter is a higher rank. |

Rank Code	Rank Description	Minimum Frontline Legs	Minimum Personal Points	Min. Cum. Personal Points	Minimum Team Points	Minimum Org. Points	Minimum Active Legs	Minimum Autoship Points	Break-away Rank Code
A	Base Rank	-	-	-	-	-	-	-	B
B	Rank #2	3	90	150	-	180	1	75	C
C	Rank #3	3	90	150	-	270	2	75	D
D	Rank #4	5	150	225	-	600	3	75	E
E	Rank #5	5	150	225	-	750	4	75	F
F	Rank #6	8	225	300	-	1,350	5	75	G
...									

inPowerSuite provides granular support for defining personal rank qualifications including Autoship points.

Additionally, companies have the ability to configure leg and level qualification rules.

Ways to Earn

Once a paid as rank has been established, iPS supports several ways to award commissions based on personal and organizational sales. These primarily fall into five groups:

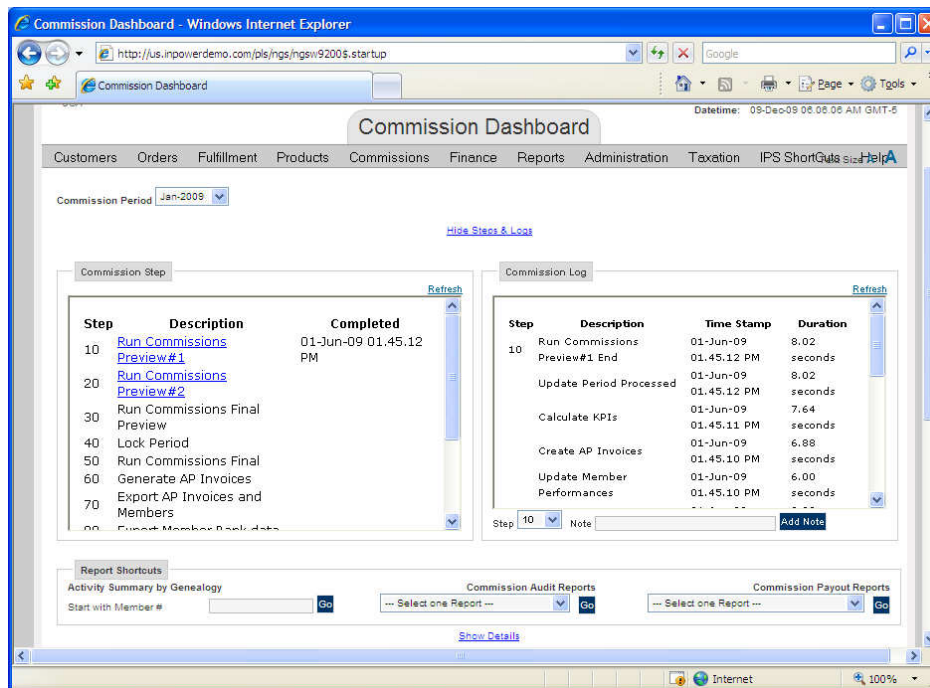
Base Commission	Paid on personal sales (from customers' orders)
Organization Commission	Paid on downline sales volume
Personal Bonus	Paid on personal sales volume
Organization Bonus	Paid on downline sales volume
Regional Bonus	Paid on downline sales volume

Below is a summary for various commission payouts

Retail Profit	Earn a base commission on product rebates (calculated as Retail selling price minus Member's price). For example, SKU-1000 retails for \$90.00. If the member's discount is 15%, when a customer purchases this item earns the member a retail profit of \$13.50.
Retail Profit Extra	Earn additional product rebates when your commissionable sales exceeds a sales target (i.e. personal Sales > \$1000 earn extra 5%). For example, continuing from above, the member earns on SKU-1000 an additional \$4.50.
Level Override Commission	Earn between (x) and (y) percentage of organization volume up to (n) compressed levels of your organization.
Generation Commissions	Earn between (x) and (y) percentage of your breakaway leg's organization volume (up to (n) generations).
Product Incentive Bonus	Earn product coupons and promotions for business supplies or specialty products each period you achieve or maintain a specific rank. Calculated as a fixed amount or (x) percentage of personal volume.
Rank Advancement Bonus	Earn a fixed bonus amount each time you first achieve a higher rank in the compensation plan. You are eligible to earn from both the Standard and Accelerated rank advancement bonus structures
Car Bonus	Earn a fixed amount (car payment) when you achieve rank (n) or higher ranking.
Trip Bonus	Earn a fixed amount (trip\$) when you have cumulative personal sales volume (PV) between period (x) and period (y) > (n) PV for any rank.
Organization Bonus	Earn between (x) and (y) percentage of organization volume (OV) from all personally enrolled legs.
Regional Bonus	Earn a fixed allowance or (x) percentage of regional sales volume.

Commission Dashboard

inPowerSuite provides an interactive module specifically designed for the Commission Manager to coordinate and process all related activities for a commission period. This module also provides vital statistics, summaries, and charts of the commission results; and allows the Commission Manager launch a variety of audit and payout reports.



The left panel contains a series of user-defined steps for processing commissions.

The right panel provides a log of completed steps and sub tasks.

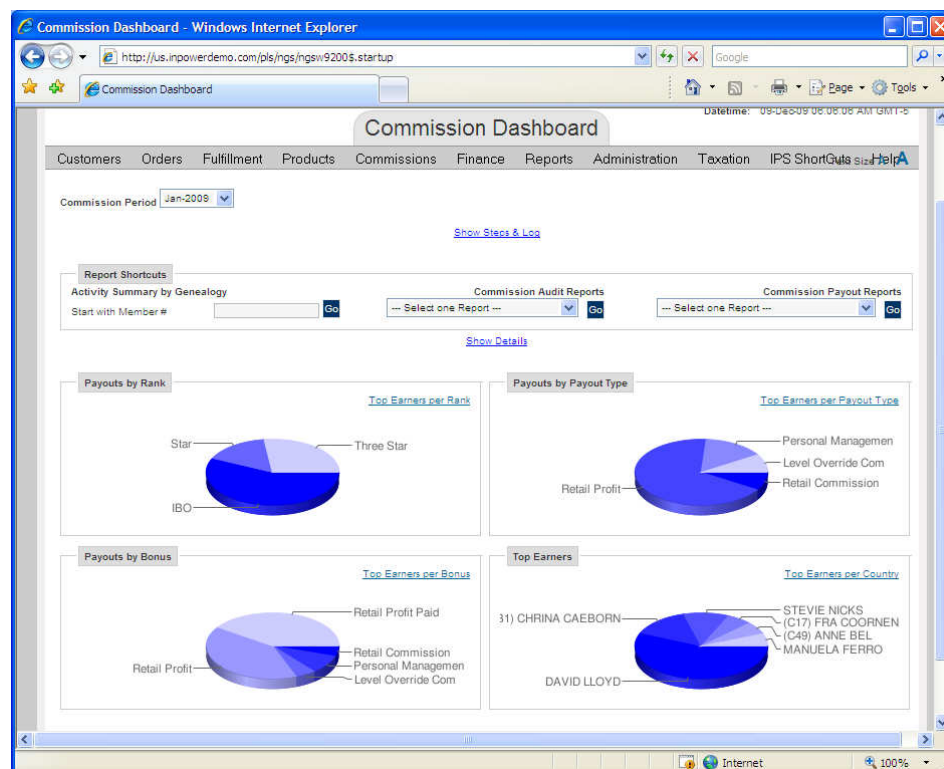
The Dashboard provides various stats and summaries for previewing commission results, including:

Payouts by ranks

Payouts by Bonus

Top Earners

Top Enrollers, etc.



Commission Reports and Statements

inPowerSuite provides a variety of commission audit and payout summaries with drill-downs to activity statements for each member

Commission Period: Mar-2010													
StartWith MemberNumber: 101213													
Download To Excel													
Member	Payout Amount	Member Number	Status	Title	Months since Rank Qual.	Paid as Rank	Personal Points	Personal Volume (PV; L0 only)	Team Volume (PV; L1 only)	Group Volume (PV; L1, ..., Ln)	Retail Earnings	Adjustment	Fee
LOIS HUGHES	\$5,351.55	101213	A	Corporate Agency Director	1	Agency Director	13,650	13,650	35,420	55,523	\$3,386.08	\$26.50	-
JULIE HODGSON	\$5,508.91	101244	A	Fashion Advisor	0	Fashion Advisor	13,484	13,484	9,874	17,022	\$3,355.14	\$15.75	-
TANEEN RUDYK	\$153.16	102478	A	Fashion Advisor	0	Fashion Advisor	2,022	2,022	740	740	\$376.50	\$121.87	-
JODI SHIPTON	-	103051	A	Fashion Consultant	-	-	-	-	-	-	-	-	-
JACKIE FENTON	\$51.88	103277	A	Fashion Consultant	-	-	-	-	-	-	-	-	-
RITA MONTGOMERY	-	103486	I	Fashion Consultant	-	-	-	-	-	-	-	-	-
GISELE DUBE	\$2,131.76	103546	A	Fashion Advisor	-	-	-	-	-	-	-	-	-
RAMONA ASSIE	\$1,403.05	103597	A	Fashion Advisor	-	-	-	-	-	-	-	-	-

Activity Report - Windows Internet Explorer

http://ca.eveologytest.com/pls/ngstest/ngs_rpt_activity_report.show_report?fn_member_performance_id=122648&fn_back_c

SUMMARY

Monthly Performance

Personal Volume (PV; L0 only)	13,650.25
Team Volume (PV; L1 only)	35,420.41
Group Volume (PV; L1, ..., Ln)	55,522.93
Rank	Corporate Agency Director
Paid as Rank	Agency Director

Payout

Retail Earnings	\$3,386.08
Adjust. Amount	\$26.50
Fee Amount	\$0.00
Bonus	\$0.00
Personal Volume Bonus	\$682.51
Personal Team Bonus	\$2,453.53
Personal Recruiting Bonus	\$961.75
Recruiting Bonus Level 2	\$647.70
Recruiting Bonus Level 3	\$214.46
Recruiting Bonus Level 4	\$0.00
Already Paid Amount	-\$3,020.98
Payout Amount	\$5,351.55

BREAKDOWN

Retail Earnings

Date	Workshop	Order	Commissionable Total	Already Paid	In this check	Rate	Amount
16-MAR-10	7174	85342	\$307.00	\$76.75	\$0.00	25 %	\$76.75
16-MAR-10	7174	85343	\$228.00	\$57.00	\$0.00	25 %	\$57.00
16-MAR-10	7174	85348	\$138.00	\$34.50	\$0.00	25 %	\$34.50
16-MAR-10	7174	85954	\$515.00	\$128.75	\$0.00	25 %	\$128.75
16-MAR-10	7174	85955	\$78.30	\$19.58	\$0.00	25 %	\$19.58
16-MAR-10	7414	85744	\$79.00	\$19.75	\$0.00	25 %	\$19.75

Statements include payout summaries and supporting details for each type of commission payout and bonus.

Statements are available download from member's portal after the Commission Manager closes the period.



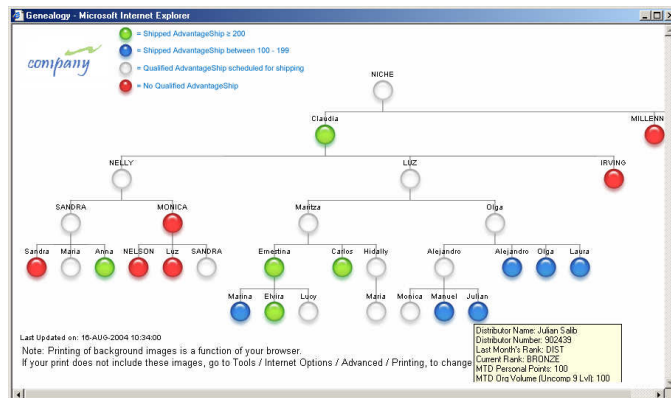
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Graphical and Linear Genealogies

inPowerSuite maintains genealogy in real time. This means that new sponsorships are immediately reflected in the genealogy tree as soon as the new member's application is submitted. Members can view their genealogy in both graphical and tabular formats.

In the graphical view, member hierarchies are displayed for each member organization to a specified number of levels and the overall size of the distributor organization can be viewed from top of tree. In this view, simply highlighting any node will popup summary performance information including member name, number, current rank, personal volume, and organizational volume, among others.



Graphical genealogy view showing hover over information on a specific member.

In the tabular view, member hierarchies are displayed in a columnar format with indentation to signify level in the hierarchy. In this view, summary performance information is display in row format and includes member name, current rank, personal volume, and contact details among others.

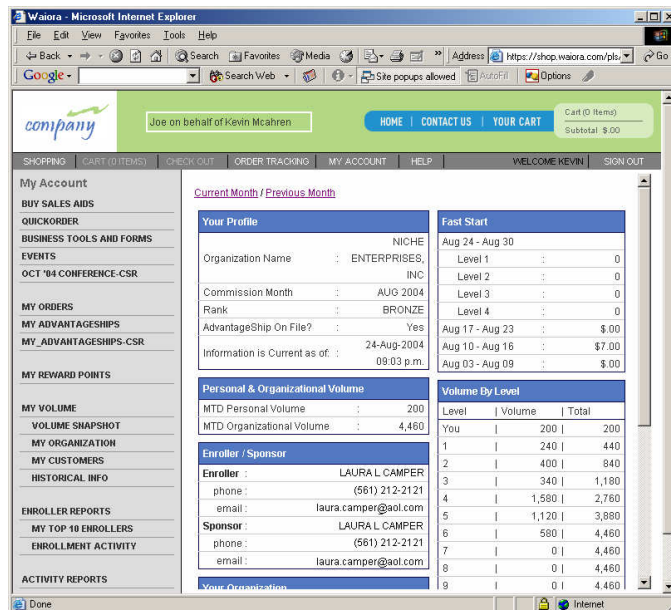
Name	Last Month's Rank	Current Month's Rank	MTD Org Volume	Last Order Date	Qualified AdvantageShip On File	AdvantageShip Date	Phone Number	E-Mail Address	Missing Address	Distributor No.
0 NICHE ENTERPRISES, INC.	GOLD	GOLD	200	20-JUN-04	YES PV= 200	20-JUN-04	(561) 999-9999	[E]	[X]	374589
*1 Claudia Ibar	GOLD	SILVER	560	17-JUN-04	YES PV= 240	03-JUN-04	(561) 999-9999	[E]	[X]	688419
*2 MARCO A BENA	BRONZE	BRONZE	200	25-JUN-04	YES PV= 200	25-JUN-04	(561) 999-9999	[E]	[X]	201609
*3 Sandra Gavi	DIST	BRONZE	240	03-JUN-04	YES PV= 240	03-JUN-04	(561) 999-9999	[E]	[X]	498999
*2 NELLY TAB	SILVER	BRONZE	200	01-JUN-04	YES PV= 200	01-JUN-04	(561) 999-9999	[E]	[X]	101349
*3 SANDRA CARRERERO	BRONZE	BRONZE	200	06-JUN-04	YES PV= 200	06-JUN-04	(561) 999-9999	[E]	[X]	614709
*3 MONICA BOTERO	BRONZE	DIST	0	07-MAY-04	NO	N/A	(571) 300-2113	[E]	[X]	706149
*4 NELSON REY	BRONZE	DIST	0	07-MAY-04	NO	N/A	(571) 263-8581	[E]	[X]	307359
*2 LUZ M SANCHEZ	SILVER	SILVER	200	20-JUN-04	YES PV= 200	20-JUN-04	(305) 383-9318	[E]	[X]	971919
*3 Maritza Velazco	BRONZE	BRONZE	240	25-JUN-04	YES PV= 240	25-JUN-04	(561) 213-0671	[E]	[X]	415179
*3 Olga Orpina	BRONZE	DIST	0	27-MAY-04	NO	N/A	(561) 213-0671	[E]	[X]	895779
*2 IRVING TITRE	BRONZE	BRONZE	200	25-JUN-04	YES PV= 200	25-JUN-04	(561) 714-1634	[E]	[X]	429129
*2 Shijia Jin	DIST	BRONZE	120	21-JUN-04	YES PV= 120	21-JUN-04	123123123	[E]	[X]	801549
*1 MILLENNIUM SOFT	BRONZE	DIST	0	20-MAY-04	NO	N/A	(561) 317-9839	[E]	[X]	926109
*1 INTEGRITY MORTGAGE	SILVER	SILVER	140	20-JUN-04	YES PV= 140	20-JUN-04	(561) 651-7450	[E]	[X]	885089
*2 WELLS OF HEALTH	BRONZE	BRONZE	120	20-JUN-04	YES PV= 120	20-JUN-04	(317) 835-2871	[E]	[X]	913599
*2 CLIMATE SYSTEMS	BRONZE	BRONZE	140	20-JUN-04	YES PV= 140	20-JUN-04	(561) 582-9036	[E]	[X]	333369
*1 Financial Dynamics Inc.	BRONZE	BRONZE	140	20-JUN-04	YES PV= 140	20-JUN-04	(561) 582-9036	[E]	[X]	333369
*1 Christy Lloyd	BRONZE	BRONZE	140	20-JUN-04	YES PV= 140	20-JUN-04	(561) 582-9036	[E]	[X]	333369

Tabular downline view with quick links to member contact and reporting information.

Volume Checking

The underlying design of inPowerSuite's PVD mechanism allows members to check their volume in real-time. Simply by signing into the "My Account" area, the member can immediately check volume in their profile page or with the graphical or tabular view (see above). This ability greatly enhances the member's ability to maximize their commission payout because of the dynamic cause

and effect action. No longer to your members have to wait hours or days to see the effect of order activity in their organization.



The screenshot shows a web browser window displaying the iPS Commission Primer application. The user is logged in as Kevin Mcahren. The application shows a sidebar with navigation links like 'My Account', 'My Volume', 'My Organization', etc. The main content area displays 'Current Month / Previous Month' reports. It includes a 'Your Profile' section with details like Organization Name (NICHE ENTERPRISES, INC), Commission Month (AUG 2004), and Rank (BRONZE). It also shows 'Fast Start' reports for various periods and a 'Volume By Level' table.

Level	Volume	Total
You	200	200
1	240	440
2	400	840
3	340	1,180
4	1,580	2,760
5	1,120	3,880
6	580	4,460
7	0	4,460
8	0	4,460
9	0	4,460

Volume checking reports showing personal and organizational volume by level and fast start payouts (if appropriate).

Claw backs in Commission Period

Commission "claw backs" for order returns, are automatically accounted for by the commission engine through the use of negative PVD records. Claw backs are always accounted for in the current period and are reflected on the current month's activity performance report for the member.

Commissions Implementation

A commission plan setup and rollout will typically contain the following phases. As required, Niche will assist Client to plan, execute and achieve a smooth implementation if the desired functional requirements.

- Analyze company's commission plan(s)
- Setup ranks, levels and commission structure
- Setup commission periods, parameters and lookup values
- Configure/Program commission qualification rules
- Setup TEST system with Genealogy from top of tree
- Simulate/Preview a commission run
- Validate results/Tweak program
- Train key personnel on Commissions Processing